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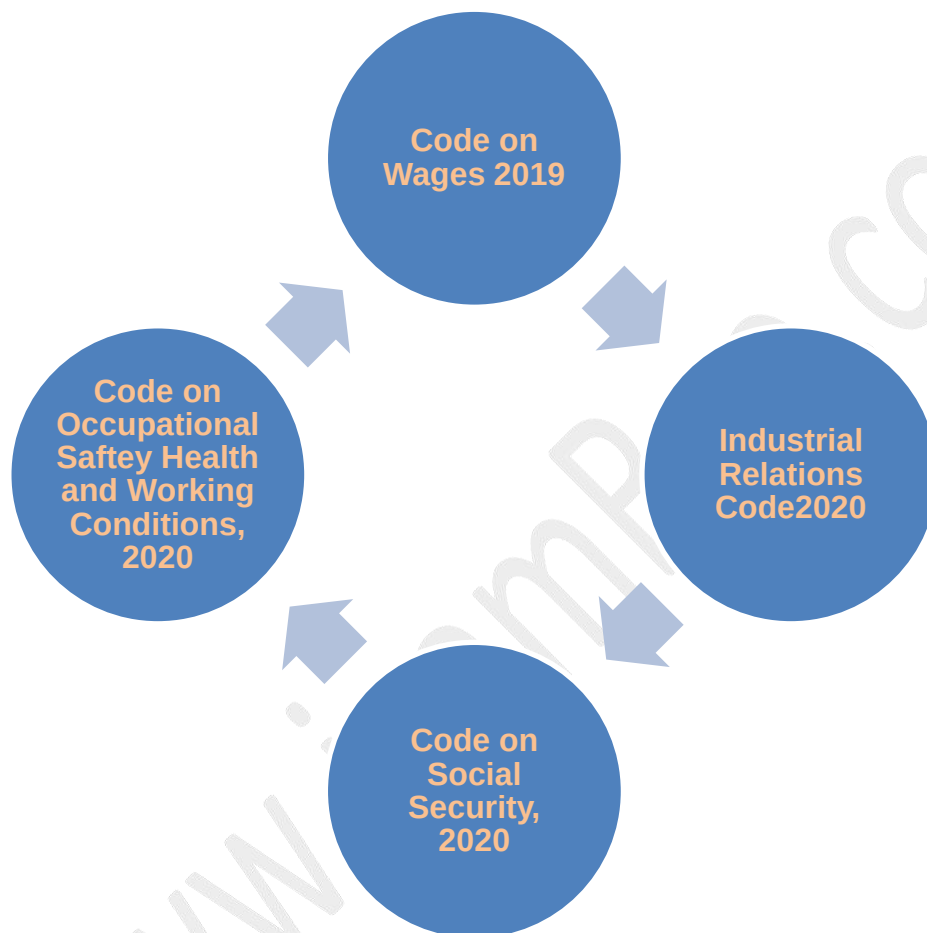
Study Notes

Labor Code on Social Security

Part- 1

INTRODUCTION

- The Indian Parliament has made a significant move to streamline the country's labour codes by consolidating the existing 44 labour codes into four comprehensive ones. These were enacted in 2020. The four Labour codes are:



➤ Objective

- The Code on Social Security, 2020 aims to amend and consolidate laws related to social security in order to extend social security benefits to all employees and workers, regardless of whether they are in the organised or unorganised or any other sectors.

- The Social Security Code has repealed the following legislations-

1. The Employee's Compensation Act, 1923
2. The Employees' State Insurance Act, 1948;
3. The Employees' Provident Funds and Miscellaneous Provisions Act, 1952
4. The Employment Exchanges (Compulsory Notification of Vacancies) Act, 1959
5. The Maternity Benefit Act, 1961.
6. The Payment of Gratuity Act, 1972;
7. The Cine-Workers Welfare Fund Act, 1981.
8. The Building and Other Construction Workers' Welfare Cess Act, 1996;
9. The Unorganized Workers' Social Security Act, 2008.

- **Labour falls under the Concurrent List of the Constitution.** Therefore, both Parliament and state legislatures can make laws regulating labour.
- The central government has stated that there are over 100 state and 40 central laws regulating various aspects of labour such as resolution of industrial disputes, working conditions, social security and wages.
- The Second National Commission on Labour (2002) found existing legislation to be complex, with archaic provisions and inconsistent definitions.
To improve ease of compliance and ensure uniformity in labour laws, it recommended the consolidation of central labour laws into broader groups such as: (i) industrial relations, (ii) wages, (iii) social security, (iv) safety, and (v) welfare and working conditions.
In 2019, the Ministry of Labour and Employment introduced four Bills to consolidate 29 central laws. These Codes regulate: **(i) Wages, (ii) Industrial Relations, (iii) Social Security, and (iv) Occupational Safety, Health and Working Conditions.**

➤ **What is Social Security?**

Social security is a Human Right (Article 22, Universal Declaration of human rights)
Social security is the protection that a society provides to individuals and households to ensure access to health care and to guarantee income security, particularly in cases of old age, unemployment, sickness, invalidity, work injury, maternity or loss of a breadwinner.

S. 2 (78) Social Security

"social security" means the measures of protection afforded to employees, unorganised workers, gig workers and platform workers to ensure access to health care and to provide income security, particularly in cases of old age, unemployment, sickness, invalidity, work injury, maternity or loss of a breadwinner by means of rights conferred on them and schemes framed, under this Code.

➤ **Social Security for Everyone**

- To ensure security for all workers, the Central Government has amalgamated 9 Labour Laws into the Social Security Code in order to secure the right of workers for insurance, pension, gratuity, maternity benefit etc.
- Through this Code, a comprehensive legal framework for Social Security has to be created so that workers can receive social security completely.
- Under this, in a step wise manner, a system would be institutionalized for the contributions received from employer and worker. The Government can fund the contribution of workers from disadvantaged section.
- Opportunity to join ESIC for platform and gig workers engaged in new technology.
- Plantation workers to get benefit of ESIC Institutions working in hazardous area to be compulsorily registered with ESIC.
- Expansion to Social Security Benefit of pension scheme (EPFO) to all workers of organized, unorganized and self-employed sectors.

➤ **Social Security Fund**

- Creation of social security fund for providing comprehensive social security to the unorganized sector.
- Requirement of minimum service has been removed for payment of gratuity in case of fixed term employees.
- Employees engaged on fixed term to get same social security benefit as permanent employees. Creating a national database of workers of unorganized sector through registration on Portal. Employers employing more than 20 workers to mandatorily report vacancies online.

➤ **Important Definitions:**

S. 2 (19) "contract labour"	" means a worker who shall be deemed to be employed in or in connection with the work of an establishment when he is hired in or in connection with such work by or through a contractor, with or without the knowledge of the principal employer and includes inter-State migrant worker but does not include an employee (other than part time employee) who is regularly employed by the contractor for any activity of his establishment and his employment is governed by mutually accepted standards of the conditions of employment (including engagement on permanent basis), and gets periodical increment in the pay, social security coverage and other welfare benefits in accordance with the law for the time being in force in such employment;
2.(20) contractor"	in relation to an establishment means a person, who— (i) undertakes to produce a given result for the establishment, other than a mere supply of goods or articles of manufacture to such establishment through contract labour; or (ii) supplies contract labour for any work of the establishment as mere human resource, and includes a sub-contractor;
(26) "employee"	It has been defined as any person (other than an apprentice engaged under the Apprentices Act, 1961) employed on wages by an establishment, either directly or through a contractor, to do any skilled, semi-skilled or unskilled, manual, operational, supervisory, managerial, administrative, technical, clerical or any other work, whether the terms of employment be express or implied.
(27) "employer"	means a person who employs, whether directly or through any person, or on his behalf, or on behalf of any person, one or more

	employees in his establishment and where the establishment is carried on by any department of the Central Government or the State Government, the authority specified, by the head of such department, in this behalf or where no authority is so specified, the head of the department and in relation to an establishment carried on by a local authority, the chief executive of that authority, and includes,— (a) in relation to an establishment which is a factory, the occupier of the factory; (b) in relation to mine, the owner of the mine or agent or manager having requisite qualification under the law for the time being in force and appointed by the owner or agent of the mine as such; (c) in relation to any other establishment, the person who, or the authority which has ultimate control over the affairs of the establishment and where the said affairs are entrusted to a manager or managing director, such manager or managing director; (d) contractor; and (e) legal representative of a deceased employer;
(35) "gig worker"	means a person who performs work or participates in a work arrangement and earns from such activities outside of traditional employer-employee relationship;
(36) "home-based worker"	means a person engaged in the production of goods or services for an employer in his home or other premises of his choice other than the workplace of the employer, for remuneration, irrespective of whether or not the employer provides the equipment, materials or other inputs;
(41) "inter-State migrant worker"	means a person who is employed in an establishment and who— (i) has been recruited directly by the employer or indirectly through contractor in one State for employment in such establishment situated in another State; or (ii) has come on his own from one State and obtained employment in an establishment of another State (hereinafter called destination State) or has subsequently changed the establishment within the destination State, under an agreement

	or other arrangement for such employment and drawing wages not exceeding eighteen thousand rupees per month or such higher amount as may be notified by the Central Government from time to time;
(54) "organised sector"	means an enterprise which is not an unorganised sector
(75) self-employed worker"	means any person who is not employed by an employer, but engages himself in any occupation in the unorganised sector subject to a monthly earning of an amount as may be notified by the Central Government or the State Government, as the case may be, from time to time or holds cultivable land subject to such ceiling as may be notified by the State Government;
(85) "unorganised sector"	means an enterprise owned by individuals or self-employed workers and engaged in the production or sale of goods or providing service of any kind whatsoever, and where the enterprise employs workers, the number of such workers is less than ten.
(86) "unorganised worker"	means a home-based worker, self-employed worker or a wage worker in the unorganised sector and includes a worker in the organised sector who is not covered by the Industrial Disputes Act, 1947 or Chapters III to VII of this Code;

CHAPTER II SOCIAL SECURITY ORGANISATION

➤ Definition

As per the Code. Definition of Social Security Organisation is inclusive of-

S. 2. (79) "Social Security Organisation" means any of the following organisations established under this Code, namely:—

- (a) the **Central Board of Trustees of Employees' Provident Fund** constituted under section 4;
- (b) the **Employees' State Insurance Corporation** constituted under section 5;
- (c) the **National Social Security Board** for Unorganised Workers constituted under section 6;
- (d) the **State Unorganised Workers' Social Security Board** constituted under section 6;
- (e) the **State Building and other Construction Workers' Welfare Boards** constituted under section 7; and
- (f) **any other organisation** or special purpose vehicle declared to be the social security organisation by **the Central Government**;

- This chapter provides for the establishment of various social security organisations as follows-

S. 4	Constitution of Board of Trustees of Employees' Provident Fund
S.5	Constitution of Employees' State Insurance Corporation.
S.6.	National Social Security Board and State Unorganised Workers' Board.
S.7.	Constitution of State Building Workers' Welfare Boards.

• **Grounds for Disqualification of members of Social Security Organisation-**

S.8. Disqualification and removal of a member of any Social Security Organisation.

- (a) is or at any time has been adjudged an insolvent; or
- (b) is found to be a lunatic or becomes of unsound mind; or
- (c) is or has been convicted of any offence involving moral turpitude; or
- (d) is an employer in an establishment and has defaulted in the payment of any dues under this Code;
- (e) is a member of a Social Security Organisation being a member of the Parliament or a member of a State Legislative Assembly, when he ceases to be such member of the Parliament or State Legislative Assembly, as the case may be; or
- (f) is a member of Social Security Organisation being a member of the Parliament or a member of a State Legislative Assembly, and he becomes a—
 - (i) Minister of Central or State Government; or
 - (ii) Speaker or Deputy Speaker of House of the People or a State Legislative Assembly; or
 - (iii) Deputy Chairman of the Council of States

CHAPTER III EMPLOYEES PROVIDENT FUND

- **Applicability of this Chapter-**

As specified in the First Schedule, the provisions of this Chapter are applicable to every establishment in which twenty or more employees are employed.

- **Appointment of officers of Central Board-**

S.14. Appointment of Appointment of officers of Central Board

(1) The Central Government may appoint a Central Provident Fund Commissioner who shall be the Chief Executive Officer of the Central Board and shall also function as head of the Employees' Provident Fund Organisation.

Explanation.—For the purposes of this Code, the expression "Employees' Provident Fund Organisation" means the organisation consisting of officers and employees of the Central Board.

(2) The Central Provident Fund Commissioner shall be subject to the general control and superintendence of the Central Board in the discharge of his functions under this Code.

(3) The Central Government shall also appoint a Financial Advisor and Chief Accounts Officer to assist the Central Provident Fund Commissioner in the discharge of his duties.

(4) The Central Board may appoint, as many Additional Central Provident Fund Commissioners, Deputy Provident Fund Commissioners, Regional Provident Fund Commissioners, Assistant Provident Fund Commissioners and such other officers and employees as it may consider necessary for the efficient administration of the Provident Fund Scheme, the Pension Scheme and the Insurance Scheme or other responsibilities assigned to the Central Board from time to time by the Central Government.

- **S. 15.Schemes**

(1) The Central Government may, by notification

(a) frame a scheme to be called the Employees' Provident Fund Scheme for which the provident funds shall be established for employees and specify the establishments or class of establishments to which the said scheme shall apply

(b) frame a scheme to be called the Employees' Pension Scheme for the purpose of providing for—

(i) superannuation pension, retiring pension or permanent total disablement pension to the employees of any establishment or class of establishments to which this Chapter applies;

- (ii) widow or widower's pension, children pension or orphan pension payable to the beneficiaries of such employees;
- (c) frame a scheme to be called the Employees' Deposit Linked Insurance Scheme for providing life insurance benefits
- (d) modify any scheme referred to in clauses (a), (b) and (c) by adding thereto, amending or varying therein, either prospectively or retrospectively

- **S. 16. Funds**

(1) The Central Government may, for the purposes of—

- (a) Provident Fund Scheme, establish a Provident Fund where the contribution paid by the employer shall be ten per cent. of the wages payable to each of the employees (whether employed by him directly or by or through a contractor), and the employee's contribution shall be equal to the contribution payable by the employer in respect of him
- (b) Pension Scheme, establish a pension fund in respect of every employee who is a member of the Pension Scheme and such sums from the employer's contribution not exceeding eight and one- third per cent. of the wages.
- (c) Insurance Scheme into which shall be paid by the employer from time to time in respect of every such employee in relation to whom he is the employer, such amount, not being more than one per cent. of the wages or such per cent of wages as may be notified by the Central Government

- **S. 17. Contribution in respect of employees and contractors**

- ✓ The amount of contribution employers' as well as the employee's contribution any charge for meeting the cost of administering the Fund paid or payable by an employer or through a contractor by the employer
- ✓ No contractor can deduct the employer's contribution from the wages payable to an Employee employed by or through him or otherwise to recover such contribution or charges from such employee.

- **S. 20: Chapter shall not apply to —**
 - ✓ establishment registered under the Co-operative Societies Act, 1912
 - ✓ to any other establishment belonging to or under the control of the Central Government or a State Government and whose employees are entitled to the benefit of contributory provident fund or old age pension.
- **S. 22: Transfer of accounts, for an employee—**
 - ✓ From an establishment to which this Chapter applies to another establishment to which this Chapter applies or not;
 - ✓ employed in an establishment to which this Chapter does not apply, obtains employment in an establishment to which this Chapter applies,
 - ✓ then, his accumulated amount in provident fund account or pension account, as the case may be, shall be transferred or dealt with in the manner as may be prescribed by the Central Government.

CHAPTER IV EMPLOYEES STATE INSURANCE CORPORATION

- **Applicability-**
 - ✓ As specified in the First Schedule – **Every establishment in which ten or more**
 - ✓ **Employees are employed other than a seasonal factory:**
 - ✓ shall also be applicable to an establishment, which carries on such hazardous or life- threatening occupation
 - ✓ employer of a plantation, may opt ESIC benefits where the benefits available are better than what the employer is providing.
- **S.24. Principle officers and other staff**
 - (1) The Central Government may appoint a Director General of the Corporation and a Financial Commissioner, who shall be the Principal Officers of the Corporation.
 - (2) The Director General and the Financial Commissioner shall hold office for such period, not exceeding five years, as may be specified in the order of appointment: Provided that outgoing Director General or Financial Commissioner shall be eligible for re-appointment if he is otherwise qualified.
 - (3) The Director General or the Financial Commissioner shall receive such salary and allowances as may be prescribed by the Central Government.

(4) The Director General and the Financial Commissioner shall exercise such powers and discharge such duties as may be prescribed by the Central Government and shall perform such other functions as may be specified in the regulations.

(5) A person shall be disqualified from being appointed as or for being the Director General of the Corporation or the Financial Commissioner if he is subject to any of the disqualifications specified in section 8.

(6) The Central Government may at any time remove the Director General of the Corporation or the Financial Commissioner from office and shall do so if such removal is recommended by a resolution of the Corporation passed at a special meeting called for the purpose and supported by the votes of not less than two-third of the total strength of the Corporation.

(7) The Corporation may employ such other officers and employees as may be necessary for the efficient transaction of its business and for discharge of any other responsibilities assigned to the Corporation from time to time by the Central Government

S.25. Employees' State Insurance Fund.

(1) All contributions and user charges paid under this Chapter and all other moneys received on behalf of the Corporation shall be paid into a fund (hereinafter referred as the Employees' State Insurance Fund) which shall be held and administered by the Corporation for the purposes of this Code: Provided that the user charges collected from the other beneficiaries referred to in section 44 shall be deemed to be contribution and shall form part of Employees' State Insurance Corporation.

(2) The Corporation may accept grants, donations, Corporate Social Responsibility Fund and gifts from the Central or any State Government, local authority, or any individual or body whether incorporated or not, for all or any of the purposes of this Chapter.

(3) Subject to the other provisions contained in this Code and to any rules or regulations made in this behalf, all moneys accruing or payable to the said Fund shall be deposited in such bank or banks as may be approved by the Central Government to the credit of an account styled the account of the Employees' State Insurance Fund.

(4) The Employees State Insurance Fund or any other money which is held by the Corporation shall be deposited or invested in the manner prescribed by the Central Government and the account referred to in sub-section (3) shall be operated by such officers as may be authorized by the Committee constituted under sub-section (3) of section 5 (hereinafter referred to as the Standing Committee) with the approval of the Corporation.

- **S.28. All employees to be Insured.**

(1) Subject to the provisions of this Code, every employee in an establishment to which this Chapter applies shall be insured in such manner whether electronically or otherwise, as may be prescribed by the Central Government.

- **S.29. Contributions.**

(1) The contribution payable under this Chapter in respect of an employee shall comprise contribution payable by the employer (hereinafter referred to as the employer's contribution) and contribution payable by the employee (hereinafter referred to as the employee's contribution) and shall be paid to the Corporation.

(2) The contributions (employer's contribution and the employee's contribution both) shall be paid at such rates as may be prescribed by the Central Government.

(3) The wage period in relation to an employee shall be the unit as specified in the regulations (hereinafter referred to as the wage period) in respect of which all contributions shall be payable under this Chapter.

(4) The contributions payable in respect of each wage period shall ordinarily fall due on the last day of the wage period, and where an employee is employed for part of the wage period, or is employed under two or more employers during the same wage period, the contributions shall fall due on such days as may be specified in the regulations.

- **S.32. Benefits.**

(1) Subject to the provisions of this Code, the Insured Persons, their dependants or the persons hereinafter mentioned, as the case may be, shall be entitled to the following benefits, namely: —

(a) periodical payments to any Insured Person in case of his sickness certified by a duly appointed medical practitioner or by any other person possessing such qualifications and experience as the Corporation may, by the regulations, specify in this behalf (hereinafter referred to as sickness benefit);

(b) periodical payments to an Insured Person being a woman in case of confinement or miscarriage or sickness arising out of pregnancy, confinement, premature birth of child or miscarriage, such woman being certified to be eligible for such payments by an authority specified in this behalf by the regulations (hereinafter referred to as maternity benefit);

(c) periodical payments to an Insured Person suffering from disablement as a result of an employment injury sustained by him as an employee for the purposes of this Chapter and certified to be eligible for such payments by an authority specified in this behalf by the regulations (hereinafter referred to as disablement benefit);

(d) periodical payments to such dependants of an Insured Person who dies as a result of an employment injury sustained by him as an employee for the purposes of this Chapter, as are entitled under this Chapter (hereinafter referred to as dependants' benefit);

(e) medical treatment for and attendance on Insured Persons (hereinafter referred to as medical benefit); and (f) payment to the eldest surviving member of the family of an Insured Person who has died, towards the expenditure on the funeral of the deceased Insured Person, or, where the Insured Person did not have a family or was not living with his family at the time of his death, to the person who actually incurs the expenditure on the funeral of the deceased Insured Person (to be known as funeral expenses): Provided that the amount of payment under this clause shall not exceed such amount as may be prescribed by the Central Government and the claim for such payment shall be made within three months of the death of the Insured Person or within such extended period as the Corporation or any officer or authority authorised by it in this behalf may allow.

(2) The Corporation may, subject to such conditions as may be laid down in the regulations, extend the medical benefits to the family of an Insured Person.

(3) The qualification of a person to claim sickness benefit, maternity benefit, disablement benefit and dependants' benefit and the conditions subject to which such benefit may be given and the rate and period thereof, shall be such as may be prescribed by the Central Government.

(4) Subject to the provisions of this Code and the rules made there under relating to this Chapter, the Corporation may make regulations for any matter relating or incidental to the accrual and payment of benefits payable under this Chapter.

- **S. 33. Corporation's power to promote measures for insured persons in terms of health and welfare such as rehabilitation and re-employment** of insured persons who have been disabled or injured etc.

- **S. 34. An accident arising in the course of an employee's employment shall be presumed, in the absence of evidence, to have arisen out of that employment.**
- **S.35. An accident shall be deemed to arise out of and in the course of an employee's employment** notwithstanding that he is at the time of the accident acting in contravention of the provisions of any law applicable to him, or of any orders given by or on behalf of his employer or that he is acting without instructions from his employer.
- **S. 36 Occupational disease –**
 - If an employee contracts any disease peculiar to that employment be deemed to be an "employment injury " arising out of and in the course of employment.
 - No benefit shall be payable to an employee in unless the disease is directly attributable to a specific injury arising out of and in the course of his employment.
- **S. 38. Dependants 'benefit-**
If an insured person dies as a result of an employment injury, dependents' benefit shall be payable to his dependents.
- **S. 39. Medical benefit –**
 - An insured person or where benefit is extended to his family, shall be entitled to receive medical benefit.
 - Such medical benefit may be given either in the form of out-patient treatment and attendance in a hospital or dispensary, clinic or other institution.
- **S. 42 Corporation's rights when an employer fails to register, etc.**
the Corporation may, on being satisfied in the manner prescribed by the Central Government that the benefit is payable to the employee, pay to the employee benefit at such rate to which he is entitled, and the Corporation recover the amount from the employer.
- **S. 45. Schemes for unorganized workers, gig workers and platform workers and the members of their families** frame scheme for providing benefits admissible under this Chapter by the Corporation.
- **S. 48 & 49. Constitution of Employees 'Insurance Court and in case of any dispute, matters to be decided by Employees 'Insurance Court.**